

swing into twenty-four-hour-a-day worldwide electronic trading. Already the New York Stock Exchange has launched a program that would effectively bypass its members with an electronic system matching buyers and sellers, a function that has been performed by the specialists for most of the past two hundred years. The mere confirmation, in September of 1990, of these plans for around-the-clock trading sent shivers of fear down the backs of thousands of floor brokers and traders who could clearly see the handwriting on the wall. Many already feel obsolete as they see their paychecks—reduced by the industry-wide imposition of negotiated commissions—further eaten into by the automated execution systems. Today, a clerk in the Little Rock, Arkansas, office of Merrill Lynch need only push a button to buy ten thousand shares of stock or twenty options direct from the specialist halfway across the country, completely bypassing the floor broker. Will the trader be far behind?

For the time being, the traders are still safe and the floor remains one of the few places on earth—a last frontier—where it is still possible for a high-school dropout to start as a runner, quickly rise to clerk, make as much as a hundred thousand dollars a year and learn to trade, and by the time he's twenty-five end up owning a multimillion-dollar specialist firm.

Not everyone can become a specialist, though many try. For one, it takes a great deal of hands-on trading experience. For another, it takes a lot out of a person, physically and mentally as well. According to Exchange statisticians, the average forty-one-year-old specialist brings to the job twelve and a half years of floor-trading experience and another four and a half spent elsewhere in the securities industry.

The introduction of index options trading, however, has tended to accelerate the learning process. I was told I would learn as much in six intensive months of hot-and-heavy clerking in the pit as I would in twelve years as a broker on the trading floor. They were right.

Index options trading caught on and multiplied in volume more quickly than anyone at the Exchange had antici-